EXECUTIVE SUMMARY

GP L90D declined £403K. Eight interventions size £1.5M to £2.8M in recovery.

Business growth, geographic ARPU, and balance optimisation close the remaining gap to £4M.

£7.67M

GP L90D
191,412 users, May to Jul 2024

−£403K

THREE-MONTH DECLINE
Accelerating: −£77K then −£326K

8

INTERVENTIONS SIZED
£1.5M to £2.8M from data

£4M

TARGET
Achievable across three horizons

THREE MOVES THAT DRIVE 60% OF RECOVERY

1. **Restructure the vending machine campaign** to eliminate non-activated user waste. Largest cost at £2.6M per L90D. Qualification gate and spend cap recover **£800K to £1.3M**.
2. **Scale eSIM distribution** with targeted travel-season push. Revenue grew 8.5x in three months on 9 users. Worth **£190K to £500K** at scale.
3. **Recover FX spread pricing** through review by currency pair and plan tier. Spread fell 57% (£398K to £173K). Recovering 25–50% adds **£170K to £340K**.

Source: 196,187 user-level P&L records, May–Jul 2024. Amounts in £1,000s per documentation. April excluded (7 days).

ROOT CAUSE ANALYSIS

GP fell £403K in three months, with the decline accelerating in July

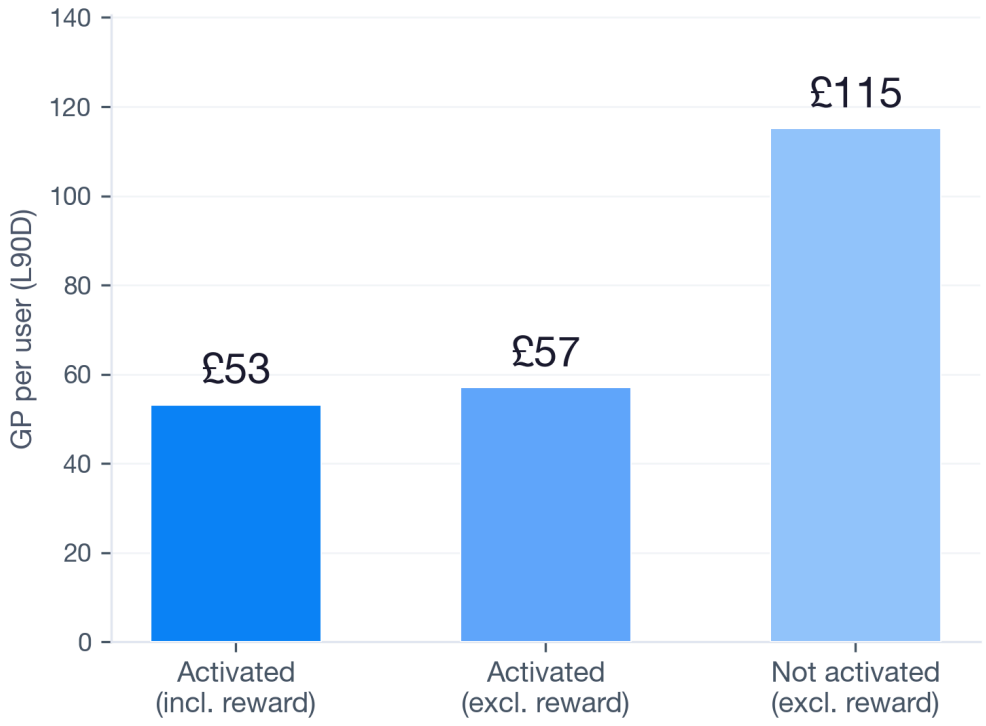
Interest income (−£373K) and FX revenue (−£317K) drove 83% of the drop. Card cost savings (+£122K) and lifestyle growth (+£181K) partially offset.

Monthly GP by account_level_2. Categories below £10K excluded.

DEEP DIVE: LARGEST COST LEVER

The vending machine campaign cost £2.6M in 90 days. Non-activated users drove 89%.

The reward structure creates the loss. Without it, non-activated users generate more GP than activated ones.



£115 GP/user without the reward vs £57 with it

Non-activated users are more profitable than activated ones when the vending machine reward is removed. The reward structure creates the loss, not the users themselves.

Qualification gate + spend cap

1. Require digital activation before dispatching physical cards.
2. Cap monthly spend at £500K (trending from £985K to £721K).
3. Track activation rate by channel to optimise allocation.

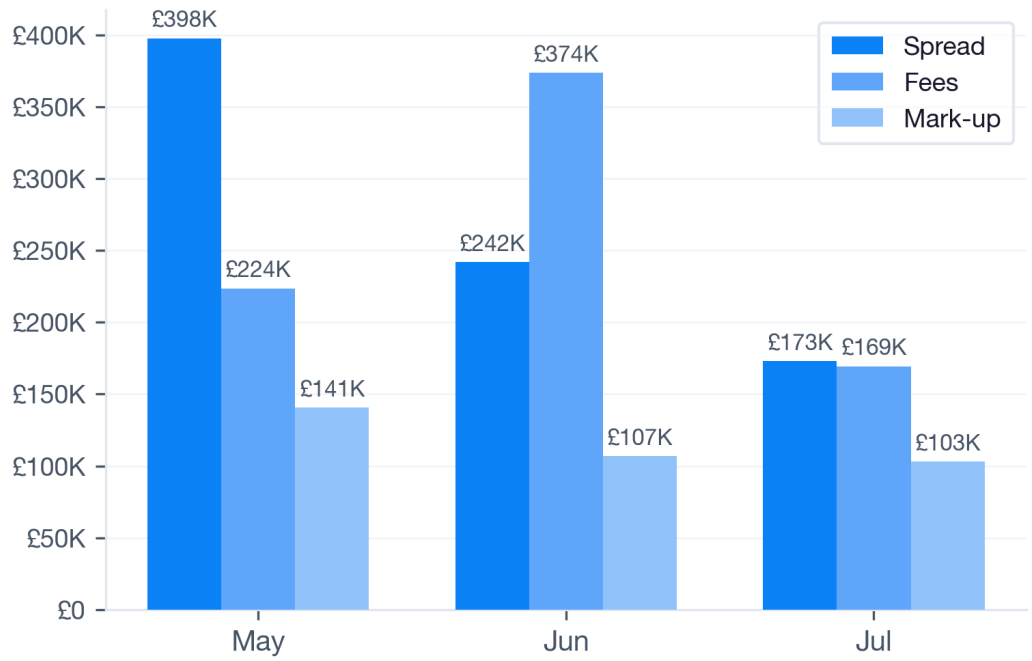
Recovery: £800K to £1.3M per L90D | Largest single intervention

GP/user = total L90D GP / unique users per NAP segment. Vending Machine Rewards isolated via account_level_4. Colour coding: ● Actionable Dashed border = recommendation.

DEEP DIVE: REVENUE DECLINES

Three revenue lines fell £788K. FX spread and bank payments are most actionable.

Ordered by controllability: FX and bank payments can be addressed through pricing review. Interest income is largely external.



↘ FX spread: down 57%, £398K to £173K/month

Steepest structural decline. Romania FX dropped 61%. Review by currency pair and plan tier. **Recoverable:** £170K to £340K

↘ Bank payment fees: down £126K/month

Initiative 5 made first 2 HUF/RON transfers free for Premium. Romania fell £16K/mo. **Recoverable:** £90K to £180K

↘ Interest income: down £373K (limited controllability)

Cash at banks fell £215K. Initiative 2 raised Metal/Ultra savings rates, increasing payouts. Balance optimisation may offset £50K to £100K.

↘ Subscriptions: down £129K

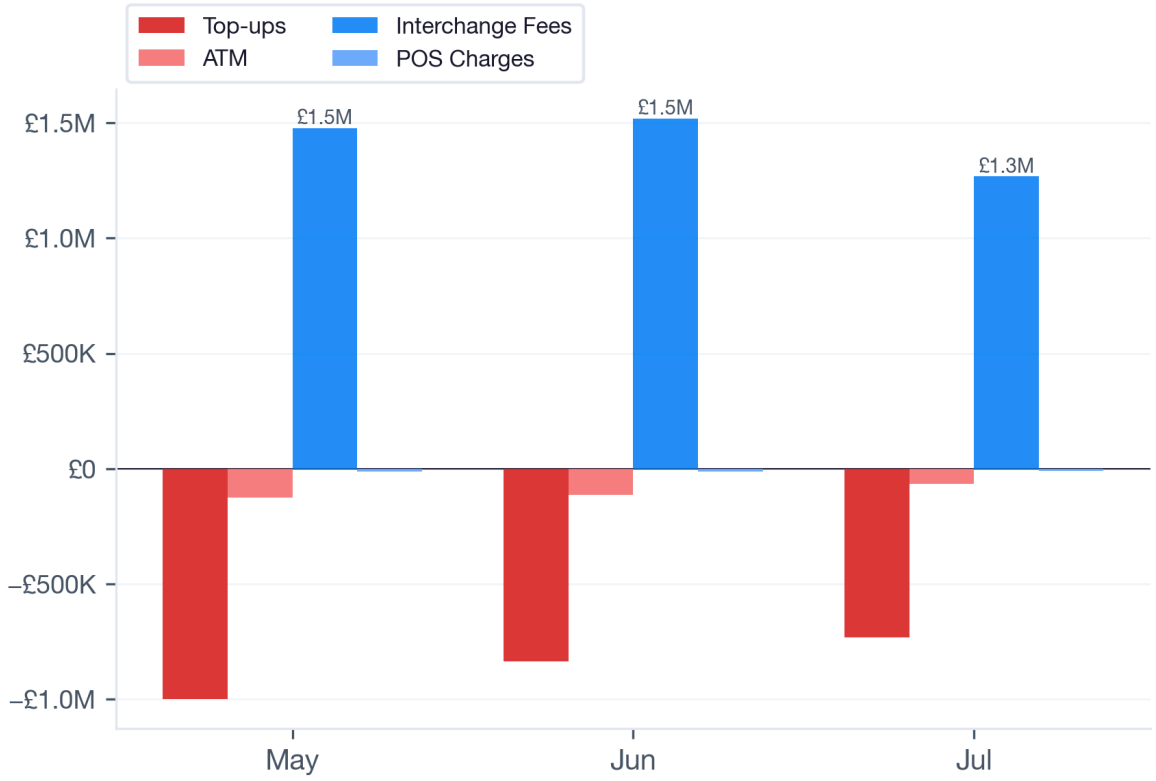
Plan Fees fell £774K to £671K. Monitor against Initiative 7 benefit costs.

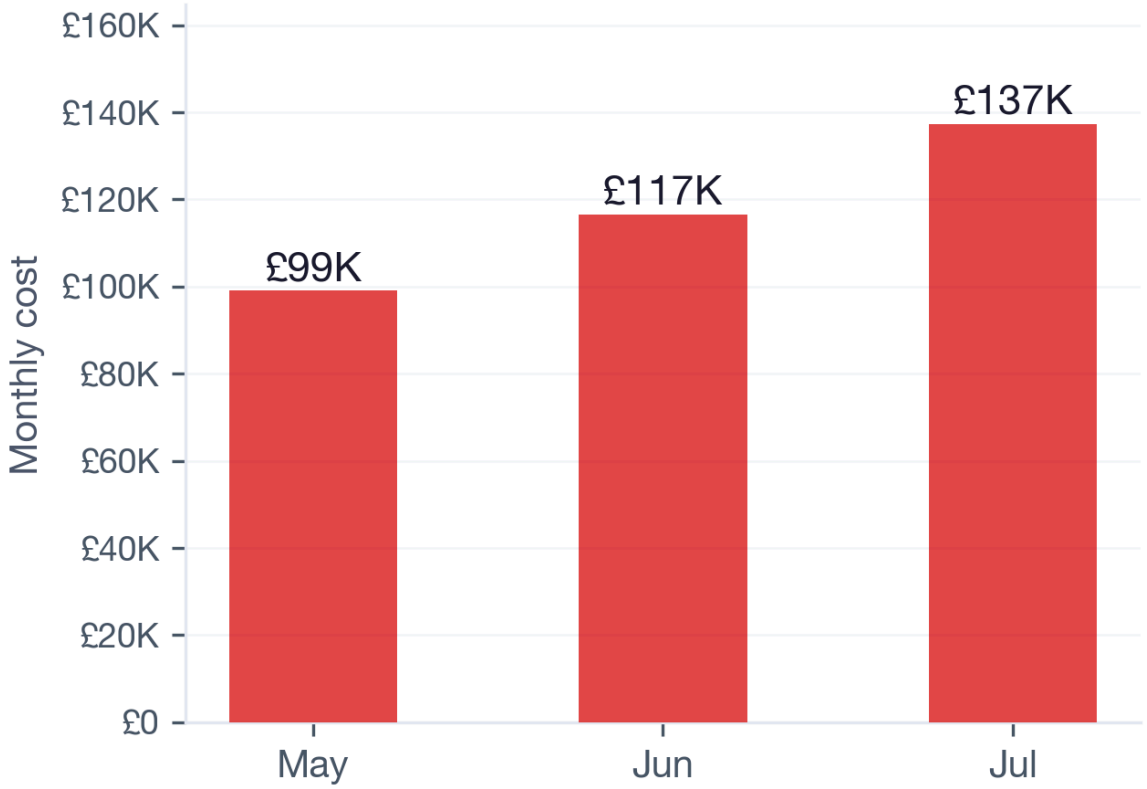
FX by account_level_3. Ordered by controllability (most actionable first). Colour coding: ● Risk / decline ● Monitor.

DEEP DIVE: CARD COSTS

Card vendor migration saved £331K. Card production costs moved the wrong way.

Two card initiatives with opposite outcomes. One is delivering, the other needs intervention.





✓ £331K saved in 90 days

Top-up processing: **+£269K** | ATM: **+£59K** | POS: **+£3K**. Additional **£100K to £200K** achievable as migration completes. Interchange fees fell £210K (revenue decline).

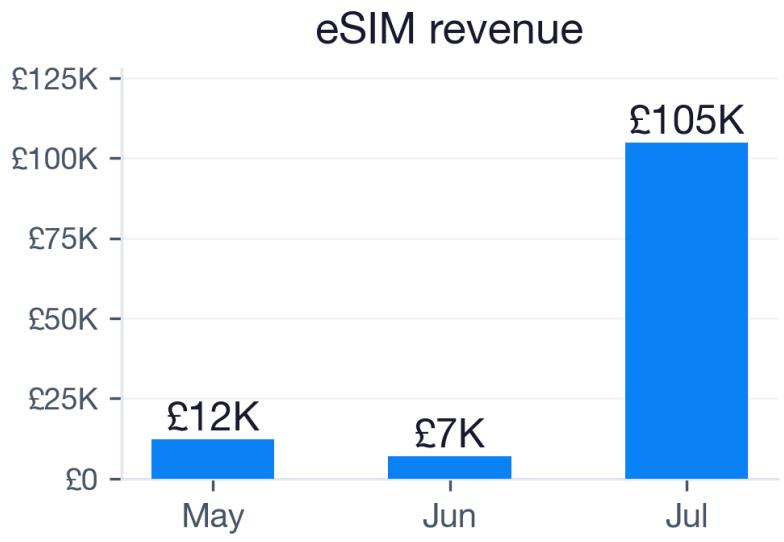
⚠ Card production: +39% (£99K to £137K/month)

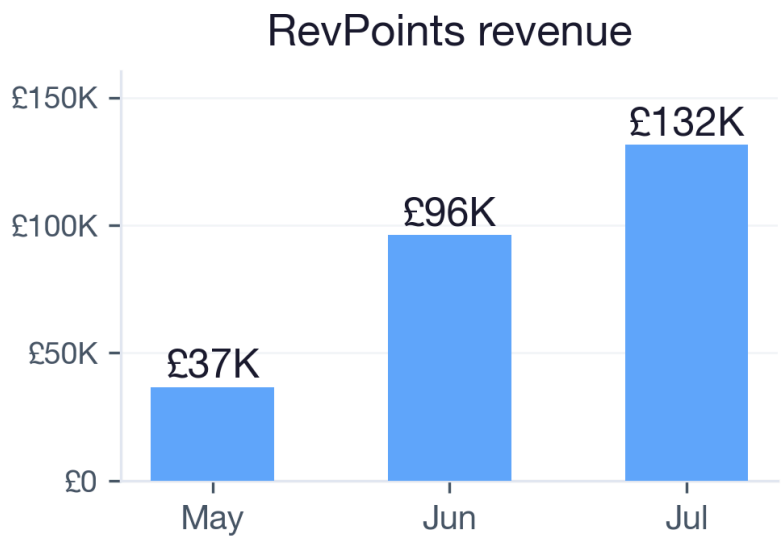
Initiative 9 increased costs by **£38K/month**. Commercial review needed.
Recovery: £80K to £115K per L90D

Card payments by account_level_3. Top-ups/ATM are costs. Interchange fees are revenue. Colour coding: • Actionable • Risk / decline.

Lifestyle revenue grew 163%. eSIMs and RevPoints deserve deliberate investment.

Two products grew organically with minimal spend. Scaling them is the highest-ROI growth play.





eSIMs: scale to £190K–£500K per L90D

8.5x growth (£12K to £105K) on 9 users. Target business travellers and peak travel (Q3/Q4).

RevPoints: target £100K–£180K per L90D

3.6x organic growth (£37K to £132K), zero promotional spend. Expand merchant partnerships.

Subscription upgrades: +£25 GP/user

107,927 Standard at £18 vs Plus at £43, Ultra at £232. Converting 1–5% adds **£27K–£135K**.

Stays: £15K first month (too early to size)

Initiative 4 launched July with 30% lower cashback.

Lifestyle by account_level_4. eSIM and RevPoints isolated from account hierarchy. Colour coding: ● Growth opportunity ● Actionable ● Monitor Dashed border = recommendation.

DEEP DIVE: ADDITIONAL LEVERS

Four smaller levers add £215K to £365K. Business growth closes the gap.

Each requires an operational decision, not new capital.

$ Credit repricing: £45K–£70K

Loan rate cuts: Romania **−£13K/mo**, Lithuania **−£11K/mo**, Germany **−£6K/mo** (compounded by Initiative 16). Not all cuts need to persist. Credit Cards and BNPL partially offset.

$ Bank payment pricing: £90K–£180K

Transfer fees fell £292K to £166K/month. Initiative 5 made first 2 HUF/RON transfers free for Premium; Romania fell **£16K/mo**. Pricing review across currencies and plans.

SMS and operational: ~£22K per L90D

In-house SMS cut costs **−60%**. Legal streamlining halved approval time. Faster refunds improve UX. These compound the value of other interventions.

Business segment: 27x GP/user

2,348 business users at **£913 GP/user** vs 185,894 personal at £34. Growing by 500 users via Scale plan + terminal rollout adds **£300K–£600K**.

Geographic ARPU gap: UK **£90**/user vs France £22, Romania £18, Poland £20. Localised pricing could recover **£200K–£400K** per L90D.

Initiatives 1, 5, 10, 11, 13, 16, 17 mapped to levers above. Colour coding: • Actionable • Growth opportunity • Monitor Dashed border = recommendation.

INTERVENTION SIZING

Eight interventions total £1.5M to £2.8M. Growth plays close the gap to £4M.

◎ **Closing the gap to £4M:** Execute all eight at the high end (£2.8M), then add business segment growth (+£300K–£600K), geographic ARPU optimisation (+£200K–£400K), and balance management (+£50K–£100K). **Full range: £2.1M to £3.9M.**

ROADMAP

Four immediate actions capture ~£1.0M in 90 days. Full £4M is a 12-month execution.

Now: 0–90 days ~£1.0M HIGH CONFIDENCE

- Cap vending machine spend at **£500K/month** and introduce qualification gate
- Run **FX spread pricing review** by currency pair and plan tier
- Open **commercial review** with card production vendor
- Complete card vendor **cost migration** across all card types

3–6 months ~£1.0M MEDIUM CONFIDENCE

- Scale **eSIM distribution** with travel-season marketing
- Expand **RevPoints** merchant partnerships
- Launch **Standard-to-Plus** subscription upgrade campaign
- Review **bank payment pricing** across currencies

6–12 months ~£2.0M MARKET-DEPENDENT

- Selective **credit repricing** by market based on elasticity
- Grow **business segment** via Scale plan and terminal rollout
- **Localised pricing** in top EU markets to close ARPU gap
- **Balance optimisation** to offset interest income decline

First horizon = operational decisions, no new investment. Vending machine restructuring, card cost migration, and FX pricing review are all within direct team control. These are the highest-confidence levers.

Assumptions, methodology, and initiative mapping

KEY ASSUMPTIONS

- amount_gbp denominated in thousands per documentation
- April (7 days) excluded. L90D = May + Jun + Jul
- NAP status = final activation outcome in the 90-day window
- All figures from provided dataset only, no external data
- Sizing uses conservative–moderate ranges from observed trends
- No range assumes full reversal of any decline
- Vending machine: partial restructuring, not wind-down
- FX spread: 25–50% addressable through pricing
- Current product mix assumed; no regulatory changes beyond Init. 16

INITIATIVE MAPPING

#1 Credit rate cuts (RO, DE, LT): loan decline → slide 7
#2 Savings rate increase (Metal/Ultra): +£21K → slide 4
#3 eSIM launch: 8.5x growth → slide 6
#4 Stays cashback reduction: £15K first month → slide 6
#5 Bank payment pricing (HUF/RON) → slides 4, 7
#6 Vending machine campaign: £2.6M cost → slide 3
#7 Subscription benefits (Plus/Ultra) → slide 6
#8 Card vendor cost changes: £331K savings → slide 5
#9 Card production vendor: +£38K/month → slide 5
#10 Simplified business onboarding → slide 7
#11 New terminal for offline payments → slide 7
#12 Money Market Funds: no material P&L impact yet
#13 Scale plan: 187 users, £2,768 GP/user → slide 7
#14 Faster refund settlement: UX, no P&L impact
#15 Legal streamlining: 50% faster approvals
#16 German provisions 5% to 10% → slide 7
#17 In-house SMS: −60%, ~£22K/L90D → slide 7

Analysis in Python (pandas, numpy, matplotlib). P&L decomposed via four-level account hierarchy. 17 initiatives mapped; 10 show measurable P&L impact.